THE REVERSIBILITY CANVAS

Calibrating Entrepreneurial Evidence to the Cost of Being Wrong

RESEARCH QUESTION

How much evidence should an entrepreneur require before acting on a particular assumption?

DESIGN PRINCIPLE

Stronger commitments demand proportionate evidence. Excessive testing can also destroy option value.

01 DECISION

What action is actually being considered?

Action & decision owner
A bounded, observable commitment

Context & duration
Stage, sector, timing and region

Resources at risk
Cash, people, asset-specific spend

Alternative actions
Pilot / stage / defer / partner

Review date
First decision checkpoint

OUTPUT
A bounded action statement

02 CRITICAL ASSUMPTION

What must be true for this action to work?

Decisive claim
Specific population and time horizon

Observable indicator
What could verify or refute it?

Available evidence
Source, date, directness

Conflicting evidence
Rival explanation and weaknesses

Known unknowns
Not assessable ≠ false

OUTPUT
A falsifiable claim and evidence record

03 REVERSIBILITY PROFILE

How difficult is a mistake to unwind?

Financial
Irrecoverable cash / obligations

Temporal
Delay and time lost

Contractual
Exclusivity / termination rights

Operational
Switching / dependency effects

Reputational / stakeholder
Externalities and third-party effects

Redeployability
Can assets and resources be reused?

OUTPUT
A documented exposure profile

04 EVIDENCE THRESHOLD

What proof is proportionate to the exposure?

Direct behavioural support
Purchases, retention, validated usage

Scope and timing
Matched market, current evidence

Triangulation
Independent, adverse-source checks

Sufficiency rule
What must be observed before acting?

Value of information
Cost and delay of further testing

Alternative smaller test
Can exposure be redesigned?

OUTPUT
A conditional permission-to-act rule

05 EXIT TRIGGER

What signal activates revision or exit?

Trigger indicator
Observable, linked to the claim

Threshold & cadence
Specific threshold and review date

Responsible owner
Who detects and decides?

Contractual authority
Notice, rights and approvals

Residual exposure
Fees, duties, people and third parties

Fallback action
Pause / modify / exit / recover

OUTPUT
An executable contingent response

FIVE-DIMENSIONAL ASSESSMENT • SEPARATE FROM THE FIVE CANVAS STEPS

EVIDENCE–CLAIM FIT	COMMERCIAL VIABILITY	REVERSIBILITY EXPOSURE	STRATEGIC OPTIONALITY	EXIT EXECUTABILITY
25% • candidate	25% • candidate	20% • candidate	15% • candidate	15% • candidate

Hard gates precede weights
Missing ≠ zero
Sensitivity required

DECISION OUTPUT
MONITOR

Proceed with monitoring / Test smaller / Renegotiate commitment / Defer

Exit signal and review loop return the decision to Stage 01